

Tempus AI, Inc.

TEM NASDAQ

Hold	\$56.73 ▼ 0.91%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.19B
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TEM: Drifting Sideways as Insiders Sell Into Strength

WHAT HAPPENED

- TEM is drifting quietly — down less than 1% on tiny volume (648K shares vs. the usual 3-4M). That low volume is actually the story: nobody's excited, nobody's panicking. The stock is stuck in a \$55-59 chop zone waiting for a catalyst.
- The elephant in the room is the CEO of Data selling ~\$1.9M of stock last week across four transactions. That's "cluster selling" — multiple insider sales close together — and it's the kind of thing that caps upside in the short term because buyers wonder what he knows.

WHY IT MATTERS

Here's the tension: institutional money loves this thing (ARK, BlackRock, Baillie Gifford all own 5%+ each — that's serious conviction from smart, long-duration investors), but insiders are trimming and the options market is slightly bearish (put/call ratio of 1.27 means more people buying protection than upside bets). That divergence usually means the stock grinds sideways until earnings force a decision. The bigger picture: TEM's new "agentic AI" oncology platform launch two weeks ago should have been a bigger deal — the muted reaction tells me the market wants to see revenue conversion, not more product announcements. Watch for the next earnings print to be the real inflection point; if they can show the AI platform is actually driving contract wins with health systems, this thing re-rates higher fast.

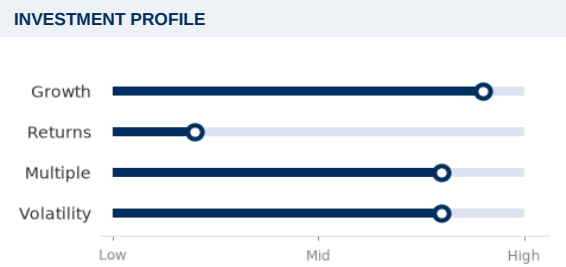
POLICY & POLITICAL WATCH

The biggest policy tailwind right now is the ongoing implementation of the ARPA-H (Advanced Research Projects Agency for Health) funding — billions flowing into precision medicine and AI-driven diagnostics, which is Tempus's exact wheelhouse. On the flip side, watch CMS (Medicare) reimbursement rates for genomic sequencing — there's ongoing debate about whether next-gen sequencing tests should get bundled payments (bad for TEM) or stay fee-for-service (good for TEM). Also, the Trump administration's push on "AI in healthcare" executive orders has been net positive for the sector, but any tightening of FDA rules around AI-as-a-medical-device could slow their pipeline.

IS IT EXPENSIVE?

At \$10.2B market cap on ~\$715M in expected 2026 revenue, you're paying roughly \$14 for every \$1 of sales — that's expensive for a company still losing money, but in-line with other high-growth AI healthcare names. The justification is 30%+ revenue growth and the "AI premium" the market gives anything with a credible ML story in healthcare. Bottom line: it's not cheap, but it's not bubble territory either — you're paying up for growth that needs to keep showing up.

Key Data	
Price (USD)	\$56.73
12M Price Target	\$62.00
Upside / (Downside)	+9.3%
Market Cap	\$10.19B
FY2026E Revenue	\$715M
FY2027E Revenue	\$965M
FY2026E EPS	(\$1.95)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$65.00	\$57.00	\$48.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$125.00	\$25.00
10 Years	\$425.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare popped 2.4% today — likely a defensive rotation as investors get nervous about tech valuations and rotate into "safer" growth. Consumer Staples and Utilities also up, which reinforces the risk-off tone.

COOLING OFF: Nothing is really cratering, but Tech and high-beta growth are notably absent from the leaderboard — that's a headwind for TEM specifically since it trades more like a tech stock than a healthcare stock.

ROTATION WATCH: Money is moving into defensive healthcare (think large-cap pharma, med devices), not into speculative AI-healthcare hybrids like TEM. That explains why TEM lagged the sector today — it got the healthcare label but not the healthcare bid.

RELATED PLAY: If precision medicine keeps getting policy support, look at Guardant Health (GH) and Natera (NTRA) — same thematic tailwind but different business models. Also CareDx (CDNA), which just bought Naveris to move into oncology — that consolidation trend is bullish for TEM as an eventual acquisition target.

WHO'S WINNING IN THIS SPACE?

- NTRA (Natera): Winning on strong genomic testing volumes and expanding Medicare coverage for their tests — direct read-through for TEM's addressable market
- ISRG (Intuitive Surgical): Benefiting from the "healthcare defensive with growth" trade — profitable, growing, and doesn't scare investors like unprofitable AI names do

TEM CONTEXT: TEM is lagging its peer group today, which fits the pattern — when healthcare rallies on defensive rotation, profitable names lead and cash-burning growth names get left behind. That tells me TEM needs its own catalyst (earnings, contract wins) to break out — it won't get carried by sector momentum alone.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the setup right now is "wait" not "buy" — insider selling plus flat volume plus rich valuation equals no urgency.

POSITION SIZE: 2-4% max — the upside is real but so is the volatility (52-week range is \$42-\$104, that's a stock that can move 30% in a month).

ENTRY POINTS: I'd add on pullbacks to \$48-52, which is closer to where ARK and BlackRock likely built their positions — you want to buy where the smart money is buying, not where insiders are selling.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q3 earnings showing that the AI platform is converting to actual revenue, not just press releases.

WHEN TO BAIL: Get out if revenue growth drops below 30% year-over-year, if a major health system partnership gets terminated, or if CMS announces cuts to genomic testing reimbursement.

HEDGING: Simplest hedge is to pair it with a boring, profitable healthcare name (UNH, ISRG) so if the market decides unprofitable AI stocks are out of favor, your other holding cushions the blow. If you want to get fancy, buy puts (contracts that pay off if the stock drops) around earnings to protect against a miss.